

Assignment #02

Q.1: What is an Entrepreneur? Also, define the Types.

An **Entrepreneur** is a person who sets up a business, taking on financial risks in the hope of profit. They act as the "engine" of the economy by combining land, labor, and capital to create value.

Types of Entrepreneurs:

- **Innovative Entrepreneurs:** Those who introduce completely new products, production methods, or markets.
- **Imitative Entrepreneurs:** Also known as "Adoptive" entrepreneurs, they follow the path of innovators and start similar businesses in different regions.
- **Fabian Entrepreneurs:** Very cautious individuals who only change when they are forced to do so by market pressure.
- **Drone Entrepreneurs:** Those who refuse to change their methods, even if it leads to losses.
- **Social Entrepreneurs:** Driven by social or environmental missions rather than just profit.

Q.2: Role of Entrepreneur in Economic Development

1. **Job Creation:** They provide employment opportunities to the public, reducing poverty.
2. **Wealth Distribution:** By starting businesses in various areas, they help spread wealth across different sections of society.
3. **Standard of Living:** They introduce new products and services that make life easier and better for consumers.
4. **Capital Formation:** They mobilize public savings into productive investment.
5. **GDP Growth:** New businesses increase the total output of goods and services in the country.

Q.3: Qualities of a Successful Businessman

To be successful, a businessman must possess specific traits:

- **Discipline:** The ability to stay focused and consistent even when motivation is low.
- **Confidence:** Believing in their vision and their ability to overcome obstacles.
- **Open-Mindedness:** Willingness to learn from mistakes and listen to feedback.
- **Risk-Taker:** Understanding that high rewards often require calculated risks.
- **Communication Skills:** The ability to sell ideas to investors, employees, and customers.
- **Integrity:** Building trust with stakeholders through honesty and ethical behavior.